ENTREPRENEURSHIP & INNOVATION

Marketing Fundamentals

From the marketing concept to the marketing plan

Concept · Environment · Segmentation, targeting & positioning · Marketing mix · Marketing plan

What we will cover

1. **Marketing concept**
   From product to marketing orientation, perceived value and loyalty

2. **Marketing environment**
   Micro- and macroenvironment of the company

3. **Customers, company, competitors**
   Segmentation, targeting, positioning, SWOT, Porter

4. **Marketing mix**
   Product, price, distribution and communication

5. **Economic analysis**
   Contribution margin, break-even and sales forecast

6. **The marketing plan**
   Structure of the presentation

Marketing concept

How firms moved from making products to serving customer needs

1

Three orientations in business history

INDUSTRIAL REVOLUTION

Product concept

Focus on what the firm can produce most efficiently. Low-cost supply is expected to create its own demand.

Example: the Ford T

EARLY 1930S

Sales concept

Mass production and rising competition. Firms push products through advertising and personal selling.

Little regard for needs and satisfaction

AFTER WORLD WAR II

Marketing concept

Higher discretionary income lets customers be selective and buy what precisely meets their changing needs.

Starts from the customer

What marketing means

Marketing

Market + ing

The market seen from a dynamic perspective: a strategy built on a good market study, then taken to the field.

1. **Market study**
   Solid basis for the strategy
2. **Successful strategy**
   Defined for the market
3. **Into the field**
   Through the marketing mix

The 4 Ps (Jerome McCarthy, 1960)

- Product
- Price
- Place
- Promotion

More than selling and advertising

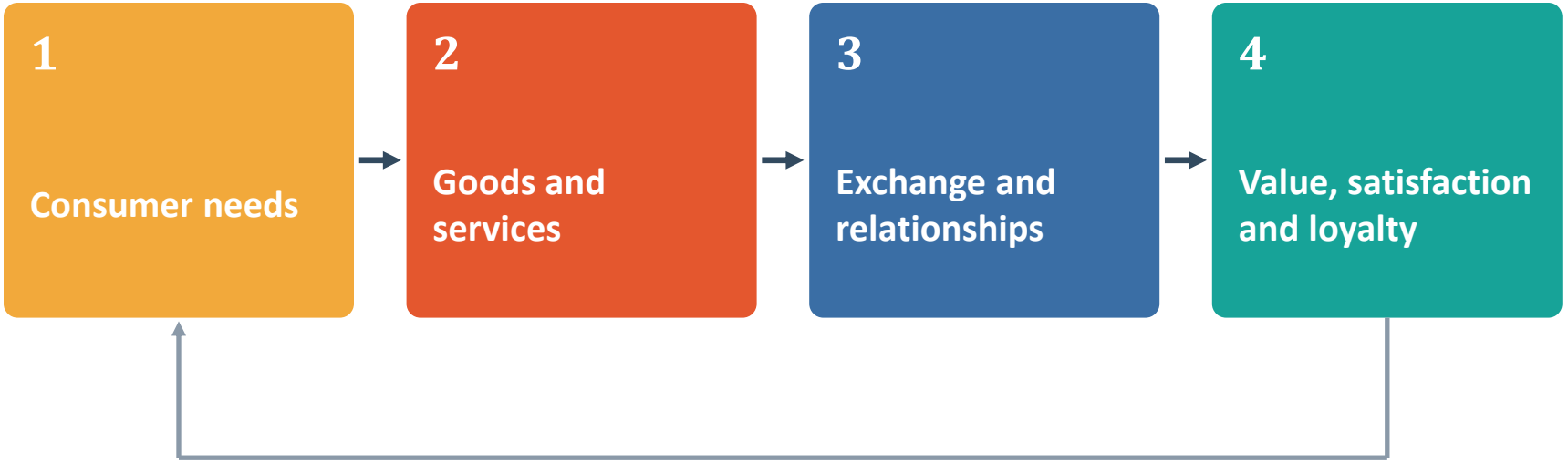
> *The aim of marketing is to identify customers' needs and meet them so well that the product almost sells itself.*

RELATIONSHIP MARKETING

Building long-lasting relationships with customers

Marketing is much more than promoting transactions.

The marketing concept as a cycle



Adapted from Kotler

Perceived value

Perceived value = **Perceived utility** − **Perceived price**

Utility = benefits

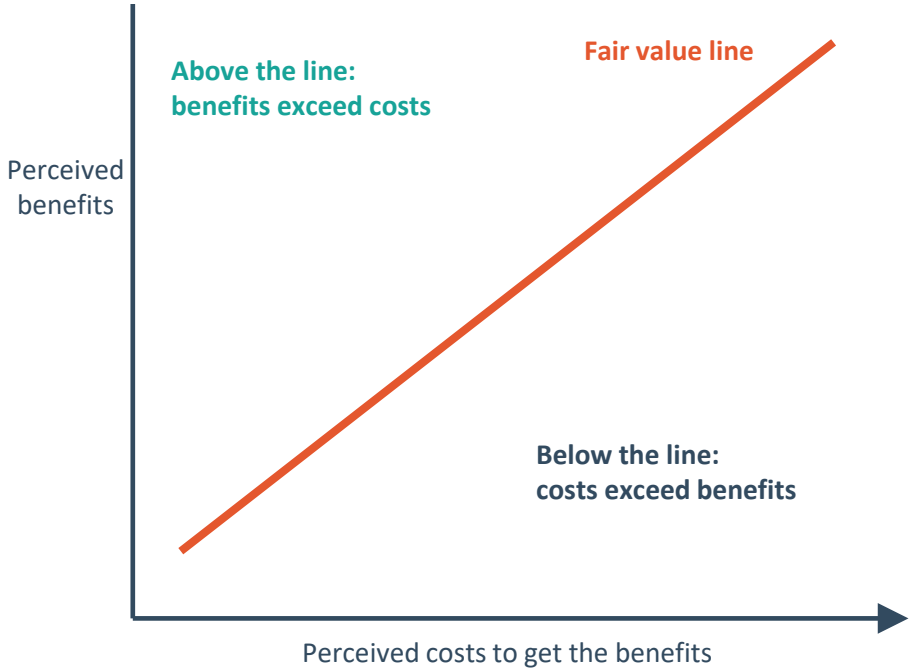
- Functional: functional benefits
- Emotional: emotional benefits

Price = monetary, time, effort

- Money paid, plus time and energy spent
- Between a minimum and a maximum psychological price

“Customers don’t buy products or services, they buy benefits.”

Value, satisfaction and loyalty



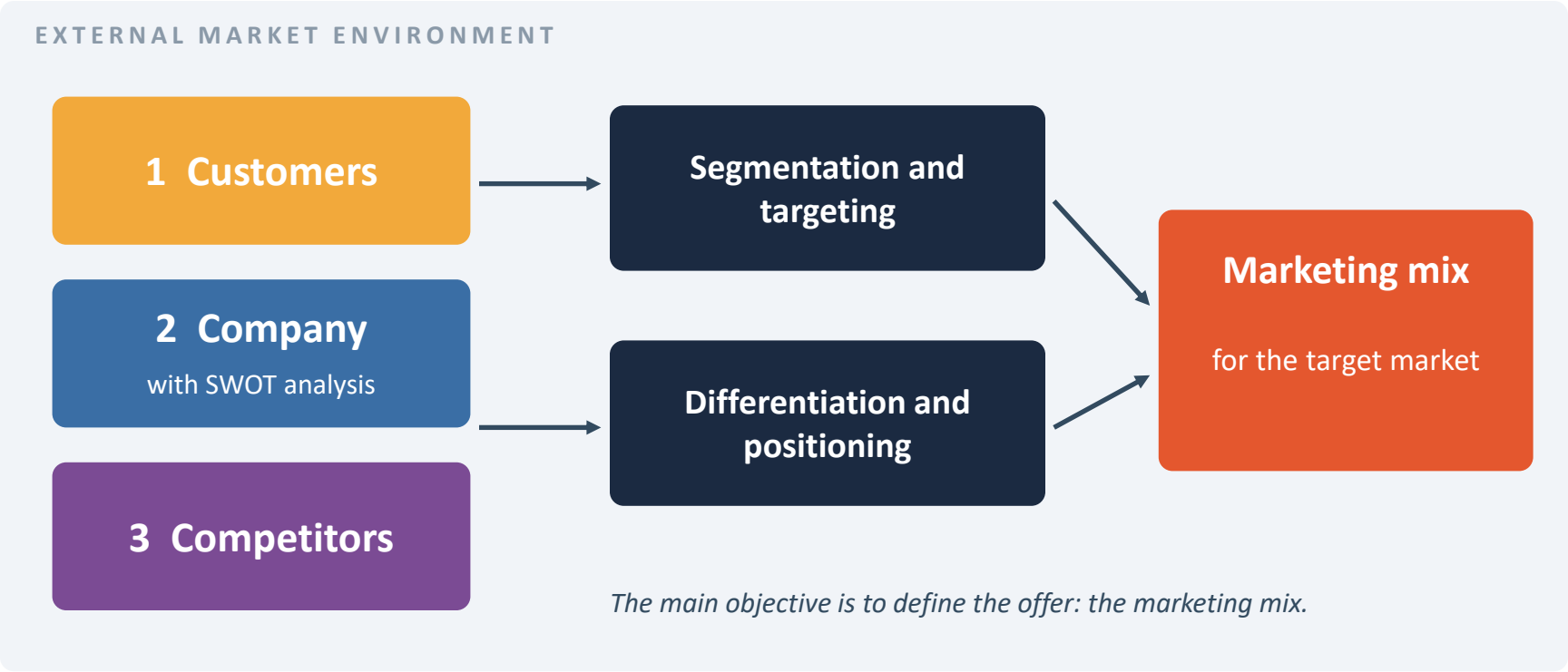
S **Customer satisfaction**

How far the firm fulfils a customer's needs, desires and expectations.

L **Customer loyalty**

Ability to involve the customer in a long-term relationship: they buy more, spend more and recommend.

The marketing strategy planning process

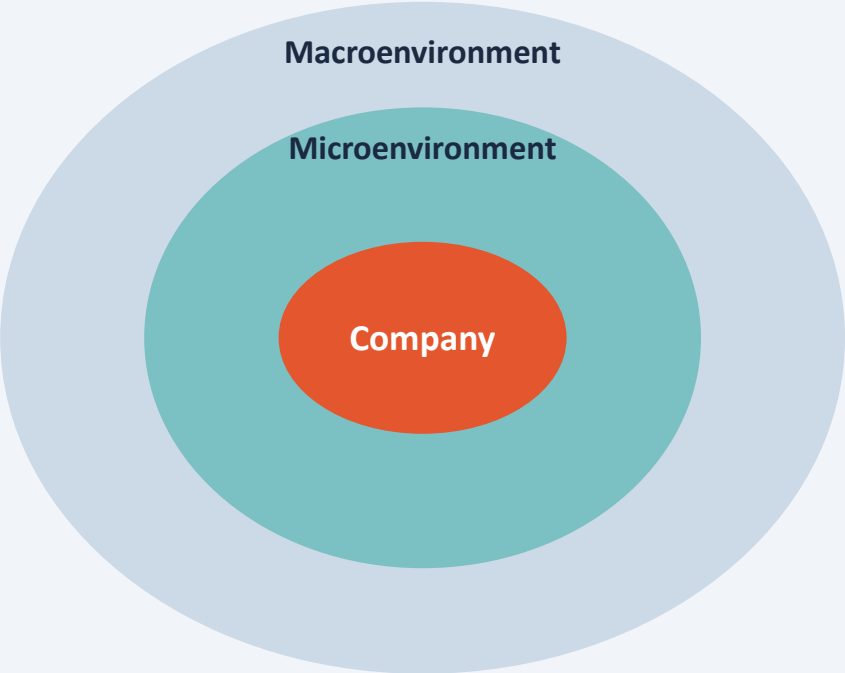


Marketing environment

2

The actors and forces outside marketing that shape customer relationships

Microenvironment and macroenvironment



μ Microenvironment

Forces close to the company that affect its ability to serve its customers.

M Macroenvironment

Larger societal forces that affect the microenvironment.

The company's microenvironment

1 Internal environment

Top management and departments that shape marketing's plans.

2 Suppliers

Provide the resources to produce goods and services: a link in the value delivery system.

3 Marketing intermediaries

Resellers that help promote, sell and distribute goods to final buyers.

4 Customers

Five types of markets that purchase the company's goods and services.

5 Competitors

Serve the same target market; the company must gain strategic advantage over them.

6 Publics

Any group with an interest in, or impact on, the company's objectives.

Internal environment, customers and publics

Company's internal environment

Top management | Finance | R&D

Purchasing | Manufacturing | Accounting

↓

Marketing

All departments affect marketing's plans

Types of customer markets

Consumer | Business | Reseller

Government | International

Types of publics

Financial | Media | Government

Citizen-action | Local | General

Internal

The company's macroenvironment

D Demographic forces

Population size, density, location, age, gender, race, occupation

E Economic forces

Factors that affect purchasing power and spending patterns

N Natural forces

Natural resources used as inputs or affected by marketing

T Technological forces

New technologies that create products and opportunities

P Political forces

Laws, government agencies and pressure groups

C Cultural forces

Institutions and forces that shape basic values and behaviour

Key demographic trends

1	**Changing age structure**	The population’s age mix is shifting.
2	**Changing families**	Later or no marriage, fewer children, working women, non-traditional households.
3	**Geographic shifts**	Moves to the suburbs and “micropolitan areas”.
4	**Better educated, more white-collar**	College attendance up 9% in 20 years, more white-collar workers.
5	**Increasing diversity**	Greater diversity in terms of background, identity, and abilities..

Customers, company and competitors

3

Segmentation, targeting and positioning, supported by market, SWOT and competitor analysis

Segmentation, targeting and positioning

1 Market segmentation

- Identify bases for segmenting the market
- Develop segment profiles

2 Market targeting

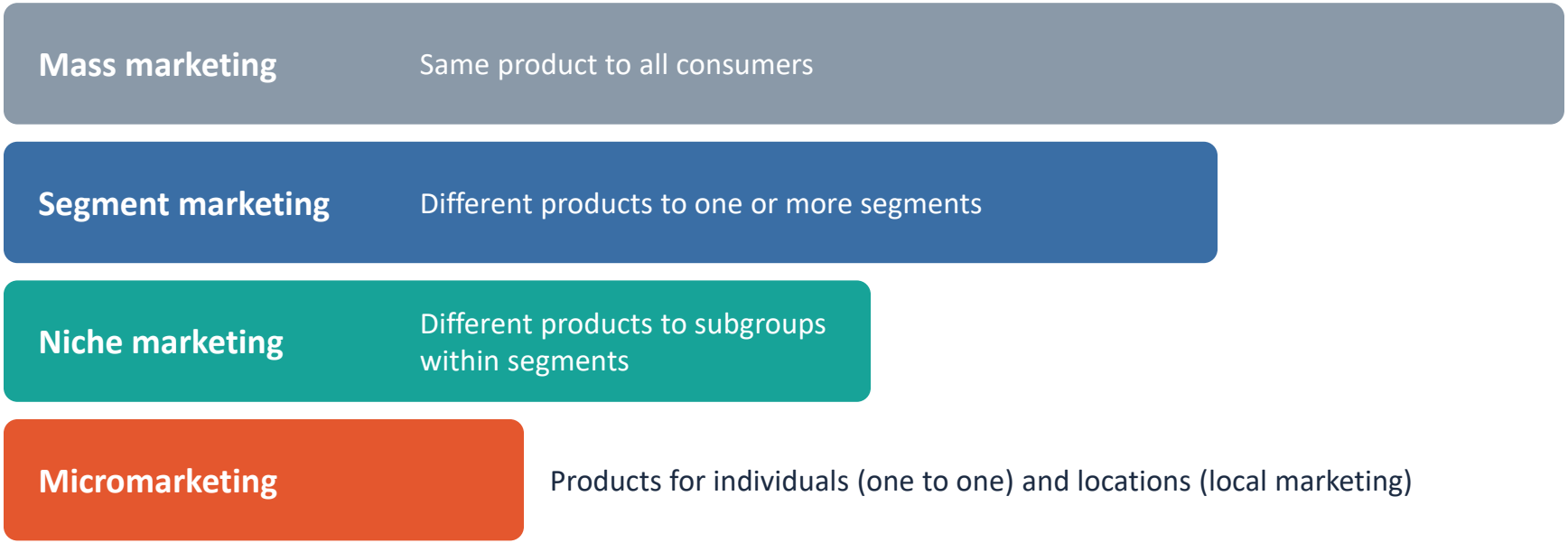
- Develop measures of segment attractiveness
- Select target segments

3 Market positioning

- Develop positioning for target segments
- Develop a marketing mix for each segment

Levels of market segmentation

Dividing a market into smaller segments that can be reached more efficiently with products matching their needs.



Bases for segmenting consumer markets

Geographic	Demographic	Psychographic	Behavioral
• World region or country • City or metro size • Density or climate	• Age, life-cycle stage, family size • Gender, income, occupation • Education, religion, race, nationality	• Social class • Personality • Lifestyle	• Occasions of consumption • Benefits sought • User status, usage rate • Loyalty status

Demographic is the most popular and easiest segmentation to use.

Segmenting business markets

D Demographics

- Industry
- Company size
- Location

P Purchasing approaches

- Centralized versus decentralized purchasing
- New versus existing customers
- Purchasing criteria: quality, price or service?
- Large versus small orders

What is the market?

RESTRICTED VIEW

Sales of a product or service, in volume and value

Current market: actual sales volume

Potential market: estimated maximum volume within a time horizon, under assumptions

BROAD VIEW

The set of publics that can influence the sales of a product or service, or even the organization's activities

Adapted from Mercator, 17th ed., 2018

Publics that influence sales

1 Buyers, consumers, users

Those who purchase and use the offer

2 Influencers

Prescribers, advocates, social web

3 Buying center (B2B)

Decision makers, buyers, prescribers, advisors, filters, users, and their motivations

4 Distributors

Channels that carry the product to buyers

Transactional environment (these audiences) + contextual environment (PESTEL) = the market

External analysis: PESTEL

P Political

E Economic

S Social

demographic, cultural

T Technological

E Ecological

L Legal

The contextual environment of the market

Internal analysis

1 Business partners

- Strengths and weaknesses
- Complementarity of competencies
- Fit between the promoters' profile and the entrepreneurs'

2 Resources to start the business

- Human
- Financial
- Organizational
- Innovation
- Management capacities

SWOT analysis



Competitors and suppliers

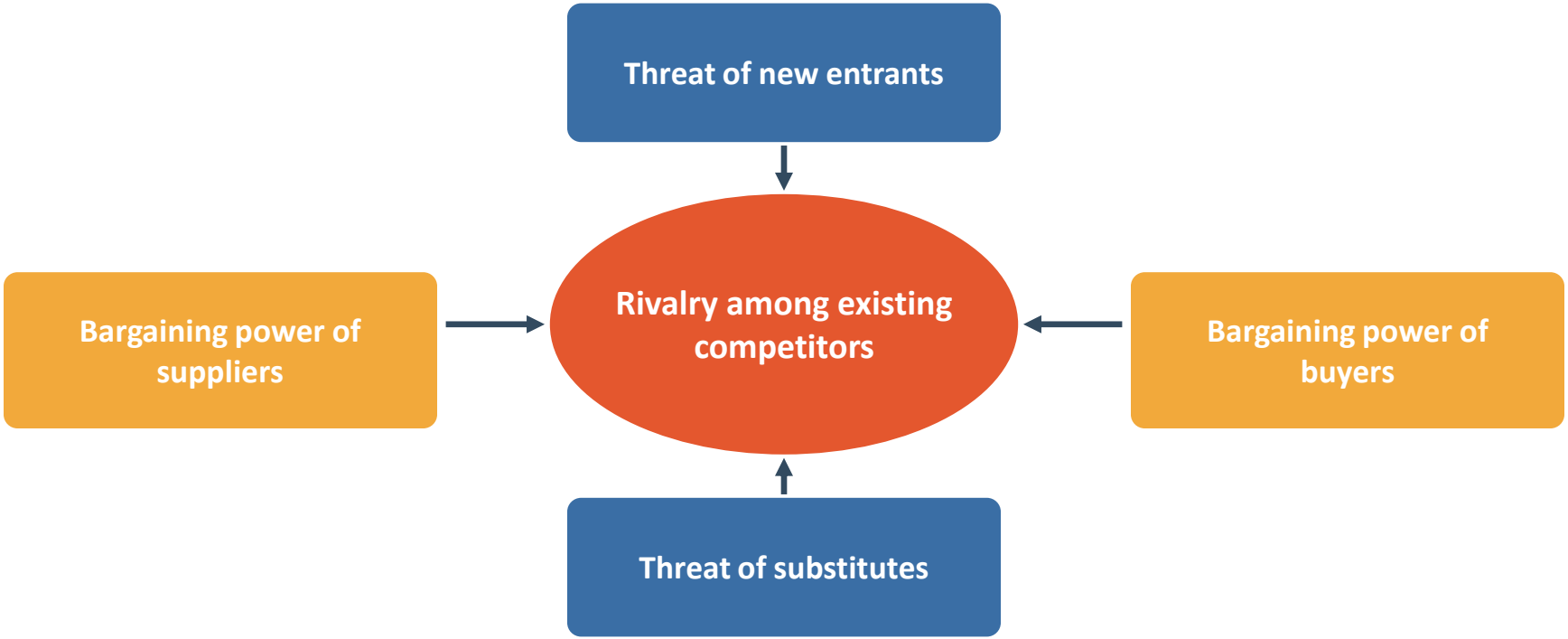
C Competitors

- Direct and indirect competitors
- Dynamics of new entries and exits
- Degree of industrial concentration
- For the most relevant: turnover, profitability, technology, marketing strategy and market image
- Output: strengths, weaknesses, competitive advantages

S Current and potential suppliers

- Number, size and bargaining power
- Technological innovation and certification
- Cost of raw materials, including transport
- Ability to differentiate
- Vertical integration or disintegration
- Partnerships

Porter's five forces



Porter, M. E. (1980), "How competitive forces shape strategy", Harvard Business Review.

Marketing mix

The bridge between marketing strategy and its implementation

4

The marketing mix: the 4 Ps

P

Product

What is offered to satisfy a need or desire

P

Price

Translates positioning and product image

P

Place

Distribution: from producer to consumer

P

Promotion

Communication that builds preference and loyalty

A bridge between strategy and implementation. It must form a coherent whole that carries out the strategic decisions and delivers a consistent value proposition to customers.

Product: goods versus services

Everything offered in a market for purchase or use that can satisfy a need: goods, services, people, organizations or ideas.

1 Intangibility

Services are harder to define. Compare a car with a software implementation.

2 No storage

Services cannot be stocked, so planning resources for demand swings is hard.

3 Customer involvement

The customer takes part in production, e.g. in a construction project from the architectural stage.

4 Simultaneous production and consumption

Since services cannot be stored, they are produced and consumed at once.

Layers of the offer

Experience

An offer that satisfies needs

Related products and services · strategic alliances · collaborative opportunities

Bundle of products and services

Wrapped around the base

Invoicing and cost control · packaging · logistics and delivery · promotion · after-sales service

Base product

The core item

Configuration · dimension · colour



Product life cycle



The marketing mix should be updated as the product category moves through the stages.

The mix across the life cycle

	Launch	Growth	Maturity	Decline
Focus	Product; no direct competition. Make the benefits known	Grow market share; competitors appear	Loyalty and new markets; marginal innovations; substitutes emerge	Sales reduction
Price	High	Lower than at launch	Falls: fierce competition, overproduction	*Causes: changing tastes, technological innovation, competition.* *Examples: tobacco, vinyl records, sewing machines.*
Distribution	Little explored, often selective	Intensified	Search for low-cost channels	
Communication	Promote trial	Strong pressure to keep sales rising	Main focus of the mix	
Examples	Web TV, organic products	Diet food products	—	—

Price: what determines it

Hard to raise

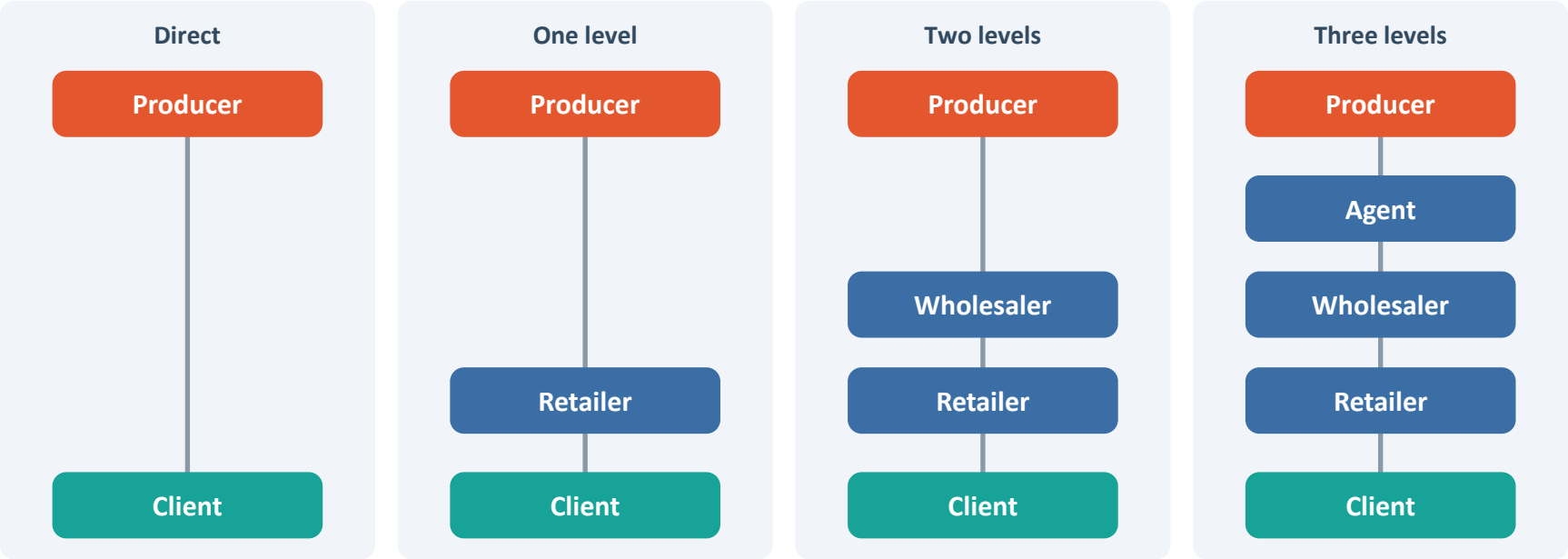
Easiest mix variable to imitate

Base price, package price, payment terms

Cost	Demand	Competition	Strategy
Total cost + margin = sales price	**Psychological price – cost = margin**	**Reference price: be dearer or cheaper**	**Penetration, skimming, price parity**
How will costs evolve?	*What volume of demand at that price?*	*How will our competitive position evolve?*	*Follows positioning in target segments*

Distribution channels

The right product at the right time, in sufficient quantity, through the right circuit, at minimum cost.



Intensity and role of distribution

Intensive	Maximum use of points of sale; broad markets
Selective	A few channels suited to the target segments
Exclusive	Usually a single wholesaler or retailer in a defined area

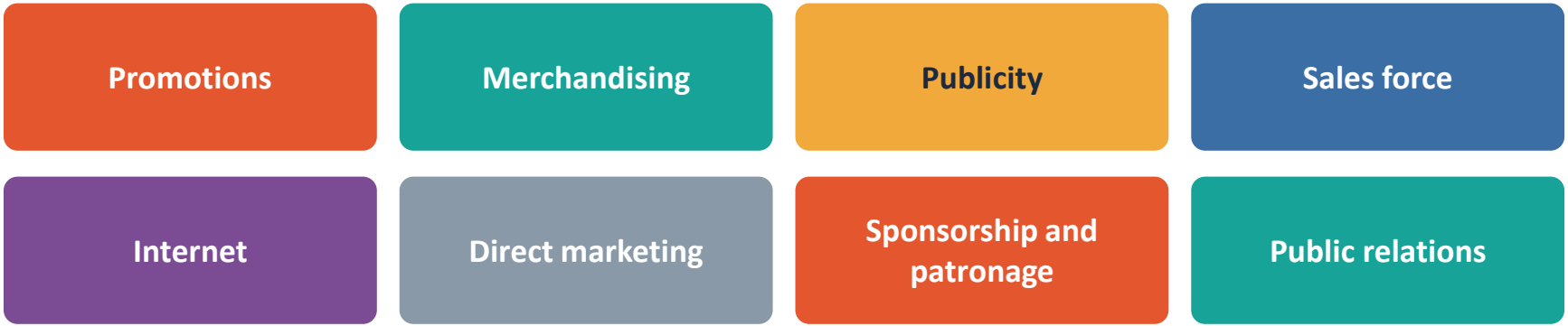
What conditions the channel

Market type, and product type: perishable, fragile or technical goods need shorter, more direct channels.

What channels do

- Physical distribution: storage and transport
- Information about products and alternatives
- Customer service: delivery, maintenance, repair
- Credit, since resellers know their customers

The communication mix



Communication brings consumers closer to brands and supports preference and loyalty, so it needs a Communication Plan.

Source: Chernev, A. (2014), Strategic Marketing Management, 8th ed.

Pull and push efforts

	Pull effort	Push effort
Aim	Attract customers: image and notoriety, medium to long-term effect	Stimulate sales force, channels or customers, short-term effect
Character	Wider target group, more impersonal	Can target segments, more personalized
Means	TV, press, outdoor, radio, cinema, internet	Promotions, fairs, direct marketing, PR, sponsorship, own web pages, point of sale

Company-controlled sources

Advertising, PR, sales force, promotions, brand, packaging

Non-controlled sources

Distributors, prescribers, press, internet news groups

Economic analysis and forecast

5

Contribution margin, break-even point and sales forecast

Contribution margin

Total cost = fixed costs (independent of units produced) + variable costs (depend directly on quantity).
Contribution margin = sales price − variable costs: how much each sale contributes to covering fixed costs.

Sales price: $100 per unit



Variable costs: $30 + $3 + $5 = $38

Contribution margin: $100 – $38 = $62

Four situations

Profit

Margin > fixed costs

Selling at a profit

Break-even

Margin = fixed costs

Profit is zero

Loss

Margin < fixed costs

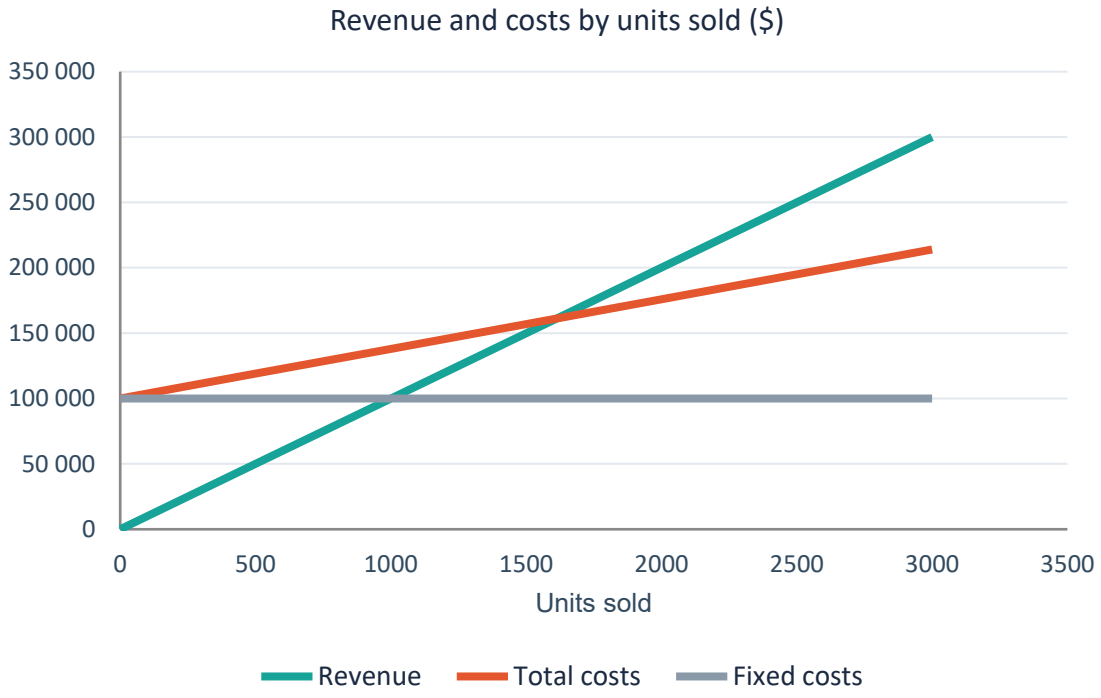
A loss. Acceptable if temporary, e.g. seasonal sales such as breweries

Stop

Margin < 0

Price does not cover variable costs. Stop producing and selling

Break-even point



Revenue = total costs

$100,000 + 38 × Q = 100 × Q

Q = 100,000 ÷ (100 − 38)

1,613

units is the break-even point

Sales forecast

Once the marketing strategy is outlined, forecast sales per product or service. The sales plan must be coherent with the marketing plan.

	Year 1	Year 2	Year 3	Year 4	...
Product 1					
Product 2					
Product 3					
Product n					

The marketing plan

Structure of the presentation

6

Five parts of the marketing plan



The marketing mix is defined for each target segment; the sales forecast follows from it.

Parts 1 and 2: market and competitors

1 · Market analysis (external)

- Political-legal, economic, socio-cultural and technological factors
- Market size and distribution channels, with at least 3 years of records (ideally 5) to show decline, stability or growth
- Seasonality effects
- Target market: who are my clients, where do they “live”, will they buy, do I offer what they need?

2 · Competitor analysis

- Number of competitors; market share of the main 2–3
- Who and where, how long in the market, their mix strategy and product features
- Compare with 1 or 2 competitors: strengths, weaknesses and the competitive advantage over each

Parts 3 to 5: SWOT, positioning, mix

3 · SWOT

- Revisit the SWOT already done
- External: opportunities, threats
- Internal: strengths, weaknesses
- Define the strategic objectives

4 · Positioning

- Segmentation: characterize target markets and select 1–2 segments
- Positioning: the benefit you offer versus the competition

5 · Marketing mix

- Product and associated services
- Pricing, bonus and promotion
- Distribution and delivery
- Communication and market interaction

Key takeaways

Start from the customer, analyse the market, then design a coherent mix.

Value

Customers buy benefits: perceived utility minus perceived price

Environment

Micro and macro forces shape every relationship

Focus

Segment, target and position, then build the mix

Numbers

Check margin and break-even before you commit